Australian
Competition &
Consumer
Commission

Public Competition Assessment
16 November 2006

Proposed acquisition of UNiTAB Limited by Tabcorp Holdings Limited

Introduction

1. On 16 August 2006, the Australian Competition and Consumer Commission (the ACCC) announced that it would oppose the proposed acquisition by Tabcorp Holdings (Tabcorp) of UNiTAB Limited, as it had concluded that the proposed acquisition would be likely to substantially lessen competition in a market in contravention of section 50 of the *Trade Practices Act 1974* (the Act).

2. The ACCC made its decision on the basis of the information provided by the parties and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed transaction, subject to confidentiality considerations.

Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:

   - a merger is opposed;
   - a merger is subject to enforceable undertakings;
   - the merger parties seek such disclosure; or,
   - a merger is approved but raises important issues that the ACCC considers should be made public.

4. In this case, the merger was opposed.

5. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change, because of developments.

6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision

outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.

7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The parties

The acquirer: Tabcorp Holdings Limited

8. Tabcorp holds the exclusive licence under the *Gambling Regulation Act 2003* (Vic) to provide off-course totalisator wagering services in Victoria for thoroughbred, harness and greyhound racing until August 2012 (when the licence expires).

9. In addition, Tabcorp holds a non-exclusive licence to conduct on-course totalisator in Victoria. Tabcorp also offers totalisator and fixed odds betting on sporting and other events.

10. In 2004, Tabcorp acquired Tab Ltd. Tab Ltd holds an exclusive licence to conduct off-course wagering under the *Totalisator Act 1997* (NSW) and is also licensed to conduct on-course wagering in New South Wales.

11. Tab Ltd owns the Sky Channel satellite television racing service which operates Australia-wide. Tab Ltd also owns Radio 2KY, a NSW radio service specialising in race broadcasts.

12. Among other things, Tabcorp owns casinos in Sydney, Brisbane, the Gold Coast and Townsville and conducts gaming operations in Victoria under the Tabaret brand.

The target: UNiTAB Limited

13. UNiTAB holds a 99-year race wagering licence under the *Wagering Act 1998* (Qld). The licence ceases to be exclusive in 2014. Under the licence, UNiTAB conducts off-course and on-course totalisator wagering in Queensland. UNiTAB also holds an exclusive sports wagering licence in Queensland until 2014.

14. In 2000 UNiTAB (via a wholly owned subsidiary) purchased the NT TAB from the NT Government. UNiTAB now holds the NT licence for off-course and on-course totalisator race wagering, which expires in June 2015 and is exclusive until this date. In 2002 UNiTAB purchased the SA TAB from the

SA Government. UNiTAB now holds the SA licence for off-course totalisator betting on racing, totalisator betting on sports and fixed odds betting on sport, which is exclusive until December 2016 and expires in June 2100.

15. UNiTAB owns RadioTAB, a race broadcaster operating in Queensland, South Australia and the Northern Territory.

16. UNiTAB holds a non-exclusive licence to conduct gaming machine monitoring operations in Queensland. It holds exclusive licences to provide gaming machine monitoring and jackpot services in NSW and to provide gaming machine monitoring services in the Northern Territory.

Timing

17. The following table outlines the timeline of key events in this matter.

Date	Event
7 June 2006	ACCC commenced assessment under Merger Review Process Guidelines.
20 June 2006	ACCC commenced market inquiries
4 July 2006	Closing date for submissions from interested parties
2 August 2006	ACCC issued Statement of Issues (with proposed undertaking offered by Tabcorp attached)
11 August 2006	Closing date for submissions in response to Statement of Issues
16 August 2006	ACCC decision announced

Market inquiries

18. The ACCC conducted market inquiries with a broad cross-section of the racing industry including racing clubs, totalisators, bookmakers, industry associations and individuals, as well as with members of the gaming industry more generally.

KEY COMPETITION ISSUES

19. The ACCC's key concerns were that the proposed acquisition would be likely to substantially lessen competition in:

- a national market for the supply of pooling services; and

- state-based wagering markets, by lessening competition for parimutuel wagering licences, particularly in Victoria (as current licences expire or cease to be exclusive).

Counterfactual

20. The ACCC granted informal clearance to a proposed merger between UNiTAB and Tattersall's Limited on 9 May 2006. This proposed merger was still on-foot at the time that the ACCC considered Tabcorp's proposal to acquire UNiTAB. However, the ACCC considered that there was some uncertainty about whether this merger would proceed if the Tabcorp acquisition did not proceed. On balance, the ACCC therefore adopted a counterfactual where UNiTAB continued as an independent business. Adopting the alternative counterfactual of a UNiTAB-Tattersall's merger would have strengthened the ACCC's competition concerns.

POOLING SERVICES

21. Currently, there are three parimutuel wagering pools operating in Australia:

- SuperTAB pool – Tabcorp pools bets placed through Tote Tasmania (TTAS), Racing and Wagering Western Australia (RWWA), ACTTAB and Tabcorp's Victorian operations. Tote Tasmania, RWWA and ACTTAB pay fees to Tabcorp for participating in the SuperTAB pool;

- Tab Ltd pool – which is operated by Tabcorp in New South Wales; and

- UNiTAB pool – UNiTAB pools bets it receives in Queensland, Northern Territory and South Australia.

Competition analysis

22. The ACCC received evidence satisfying it that UNiTAB and Tabcorp are potential alternative suppliers of pooling services, particularly to totalisators in Western Australia, Tasmania and the ACT. Consequently, the ACCC concluded that a national market exists for the supply of pooling services – in practice, the right for smaller totalisators to combine their bets with a large totalisator for a fee.

23. Currently, the two suppliers of pooling services in Australia are Tabcorp and UNiTAB. The proposed acquisition would have made Tabcorp the sole provider of pooling services in Australia.

24. The ACCC concluded that barriers to entry to this market are high, particularly given the need for new suppliers to obtain a parimutuel wagering licence from a State or Territory government (the first current licence to expire is Tabcorp's Victorian licence in 2012).

25. The ACCC concluded that it would be unlikely to be commercially practical for the ACT, Western Australia and Tasmania to form their own pool if the

merged totalisator raised its price for pooling services. In particular, the ACCC noted that this option is currently open to the three totalisators, but that they choose to pay fees to Tabcorp for pooling services. In addition, the ACCC received evidence satisfying it that a combined WA-Tasmania-ACT pool would be unlikely to be of sufficient size to be commercially attractive, particularly to large punters.

26. The other merger factors were not relevant. For example, imports do not seem to be possible. No vertical issues arose.

27. The undertaking offered by Tabcorp is discussed below at paragraph 48.

Conclusion

28. There are currently two suppliers to the national pooling market. The proposed acquisition would result in Tabcorp becoming the sole supplier of pooling services. Barriers to entry are high. No other potential constraints on the merged totalisator would exist. The ACCC therefore concluded that the proposed acquisition of UNiTAB by Tabcorp would substantially lessen competition in the national market for pooling services.

WAGERING

29. State and territory governments only allow licensed businesses to offer parimutuel wagering services in their jurisdictions. Currently, only one business is licensed to offer these services in each state and territory. As noted above, the Victorian wagering licence expires in 2012. In addition, wagering licences in other states become non-exclusive between 2013 and 2016, although the ACCC understands that the relevant governments have not yet commenced considering whether they will allocate additional licences.

Wagering markets

30. A number of factors suggest that currently there is limited competition between totalisators in different states.

31. In particular, the level of betting by punters in one state with the totalisator in another state is low. This appeared to be largely explained by the inability of totalisators to establish retail outlets or advertise outside of their home states. However, there was evidence that different totalisators compete with respect to the range of bet types offered and as regards the quality of internet and phone services offered.

32. The ACCC was also concerned that Tabcorp's ownership of the Sky national racing channel may have influenced UNiTAB not to compete as aggressively as it could have for punters in New South Wales and Victoria (for example, by offering rebates and incentives to larger punters).

33. It was put to the ACCC by several interested parties that the level of cross-border betting should be higher because larger punters engage in significant

cross-border betting. However, the ACCC was satisfied that the evidence available to it did not support this proposition.

34. The level of cross border betting has remained low despite increases in recent years in the amount of phone and internet betting.

35. The evidence available to the ACCC also suggested that Tabcorp and UNiTAB did not compete significantly in relation to 'take-out' rates. State governments set a maximum limit on the proportion of the parimutuel wagering pool that the totalisator in their state may retain (that is, not return to punters as winnings). The evidence available to the ACCC indicated that totalisators' take-out rates in practice are close to the regulatory maximum. The ACCC also noted that changes in take-out rates may not change the final odds offered to punters significantly.

36. Several interested parties also suggested that the different odds on offer from each parimutuel pool (that is, SuperTAB, New South Wales and UNiTAB) indicated that the pools competed for punters. However, as totalisators do not control the odds they offer (apart from marginally via changing take-out rates), the different odds on offer between pools do not constitute a ‘lever’ by which totalisators can actively compete with each other.

37. Ultimately, the ACCC concluded that, at least currently, UNiTAB and Tabcorp do not significantly compete directly for punters.

38. However, the ACCC considers that the proposed acquisition gives rise to other competition concerns in wagering markets.

<u>Wagering licences</u>

39. These concerns flow from the impact that the proposed acquisition would have on competition for wagering licences, and for the Victorian pari-mutuel wagering licence in particular (which Tabcorp currently holds and which expires in 2012).

40. The ACCC considers that competition for a licence to operate a wagering business can be viewed as a proxy for competition between wagering businesses. Broadly, pressure from consumers (that is, punters) in a competitive market to provide the best offering is replaced by pressure from a state government to provide the best offering to win a licence.

41. The ACCC considers that, given the evidence before it, UNiTAB is likely to be a significant competitor to Tabcorp for the Victorian parimutuel licence. In particular, UNiTAB possesses demonstrated Australian experience and expertise at operating a parimutuel wagering business. It has also demonstrated the ability to operate with probity. Market inquiries suggested that these factors would give UNiTAB a significant advantage over other potential applicants for the licence.

42. If the Victorian government chooses to allocate two licences beyond 2012, then UNiTAB would seem to have a substantial advantage over any other applicant arising from the fact that it could pool bets it received in Victoria with its Queensland, South Australian and Northern Territory pool.

43. The ACCC also understands that, while this licence expires in 2012, the Victorian government may make a decision about the allocation of the subsequent licence(s) as early as 2007 – that is, the concerns identified are likely to arise soon.

44. Overall, the ACCC concluded that the proposed acquisition of UNiTAB by Tabcorp would remove a substantial competitor from the process for allocating the next Victorian parimutuel wagering licence(s), a process which may occur as early as 2007. Consequently, the proposed acquisition was likely to raise concerns in the Victorian wagering market.

Latent competition

45. Despite a low level of cross border wagering, the ACCC was unable to identify significant structural impediments to competition between totalisators located in different states, specifically for large punters using phone and internet wagering services. One way such competition could occur would be through the payment of rebates (rather than, for example, through altering take-out rates). Part of the explanation for the current lack of competition appears to be a conscious decision by totalisators not to compete. It appears that totalisators are concerned with the reaction of other totalisators if they aggressively compete for each other’s large customers.

46. In the ACCC’s view, in the absence of structural impediments to competition, behavioural decisions by parties not to compete aggressively do not mean that a merger or acquisition will not result in a substantial lessening of competition. The merger or acquisition will eliminate the competition that exists, but more importantly foreclose the possibility of more aggressive competition in the future.

Bookmakers

47. Finally, the ACCC also recognised that bookmakers, and particular corporate bookmakers offering online wagering services, do compete with totalisators for punters (and that betting exchanges potentially may become more significant players in the sector). However, there was real uncertainty about whether the extent of the competitive constraint imposed by bookmakers would be sufficient to prevent Tabcorp exercising market power post-merger.

SECTION 87B UNDERTAKING OFFERED BY TABCORP

48. The draft undertaking provided by Tabcorp which the ACCC circulated for public consultation on 2 August 2006 aimed to address the ACCC's competition concerns:

- in the national pooling market; and
- relating to the future grant of wagering licences.

49. The key features of Tabcorp's proposed undertaking were:

- Tabcorp would take steps to commence an agreement reached with Tote Tasmania in 2005 which was intended to govern Tote Tasmania's participation in the SuperTAB pool until 2012. This agreement had not commenced because certain conditions precedent had not been met;
- the current agreements with the SuperTAB participants (i.e. WA, Tasmania and the ACT) would be amended so that the participants could terminate their agreement without cause by giving three months' written notice to Tabcorp. Further, if a SuperTAB participant exercised the right to terminate its agreement, and Tabcorp offered that participant an amended agreement to entice it to rejoin the SuperTAB pool, Tabcorp would also offer amended terms to all other participants so that any amended SuperTAB Agreement would not (when taken as a whole) unfairly discriminate in favour of one SuperTAB participant relative to the other participants;
- should Tabcorp hold the Victorian wagering licence after 2012 and propose to offer pooling services to other totalisators, the terms of the new agreements with SuperTAB participants, when taken as a whole, would be no less favourable than the agreements with SuperTAB participants in existence at that time; and
- after 2012 (if Tabcorp retains a Victorian parimutuel wagering licence), should any new wagering licensees (that hold the relevant approvals to enter into pooling arrangements) wish to enter into a pooling arrangement, Tabcorp would not unreasonably refuse to enter into any such pooling arrangement.

Conclusion

50. The undertaking offered by Tabcorp was behavioural in nature. It was not offered by Tabcorp as an adjunct to a structural undertaking and did not satisfactorily resolve the ACCC's structural concerns. The undertaking was also heavily qualified and, in key places, imprecise. This created considerable uncertainty about the likely future operation of the undertaking in practice.

51. The ACCC therefore concluded that the undertaking proposed by Tabcorp was not sufficient to address the ACCC's competition concerns.

OTHER MARKETS

Gaming

52. Interested parties suggested that a competition concern would arise because post-merger Tabcorp would own casinos (in Sydney, Brisbane, Townsville and the Gold Coast) which offer patrons electronic gaming machines, while at the

same time Tabcorp would supply gaming machine monitoring and jackpot services to pubs and clubs in New South Wales and Queensland.

53. While the ACCC recognised the potential for a conflict of interest to arise, particularly as regards clubs and pubs located near to Tabcorp's casino in New South Wales, it did not consider it likely that the situation would allow Tabcorp to exercise market power by, for example, reducing the quality of the gaming services offered at its Sydney casino.

Media

54. Interested parties suggested that the proposed acquisition would raise competition concerns in light of Tabcorp's ownership of the Sky racing channel. However, the ACCC was satisfied that any concerns about Tabcorp's ownership of Sky racing were unrelated to the proposed acquisition (that is, they existed prior to the proposed acquisition and would continue to exist whether or not the proposed acquisition proceeded).

CONCLUSION

55. The ACCC concluded that the proposed acquisition of UNiTAB by Tabcorp would be likely to have the effect of substantially lessening competition in certain markets as set out above. The ACCC therefore opposed the proposed merger.

56. Tabcorp provided a statement to the Australian Stock Exchange on 17 August 2006 indicating that it would not attempt to proceed with the acquisition of UNiTAB.